

General Certificate of Education (Adv.Level) Examination, August 2011

Economics I

Model Answers

Question No.	Answer No.	Explanation of the reason
1	(1)	Production possibility frontier is the graphical representation that shows the maximum possible output of two goods that can be produced using all resources given the state of technology. A point inside it indicates that full employment has not been achieved.
2	(2)	Micro economics is the study of individuals and individual economic events.
3	(5)	A normative statement is a statement that is subjective and cannot be proved scientifically to be correct or wrong.
4	(5)	A resource which is a gift of nature that is unlimited in supply is a natural resource.
5	(1)	An economic good is a good that is limited in supply and is involved with opportunity cost.
6	(3)	Technological advancement leads to increase in production capacity. Therefore ppc shifts to the right.
7	(1)	A market economy is an economy that has private ownership of resources, price mechanism and decentralization of decision making.
8	(5)	Price mechanism is the method of allocating resources in a free market economy. It has three main functions. 1. Signalling function 2. Rationing function 3. Allocating function
9	(1)	The main function of the market economy is allocation of resources.
10	(3)	A shift of demand curve for a product is due to the change in the determinant of demand except the price of the good concerned.
11	(3)	Other factors that determine the demand except the price of the good is held constant. But the price changes.
12	(2)	If the price of substitute increases the demand for the good concerned increases, as a result the price of the good concerned also increases.
13	(1)	When the demand is price inelastic, the price of the good and the revenue has a positive relationship.
14	(4)	When the supply is elastic, the quantity and price elasticity of supply has a negative relationship.
15	(5)	When the market price is higher than equilibrium price demand will fall and supply will rise. As a result price will fall and vice versa. But at the equilibrium price remains constant.
16	(5)	If the demand is perfectly inelastic (Zero) the whole tax burden will fall on consumer. Therefore the price will rise by the amount of tax.
17	(5)	Initial consumer surplus is A. Since it is totally free ODM becomes the consumer surplus.

Question No.	Answer No.	Explanation of the reason
18	(5)	Excess demand is the quantity demanded greater than the quantity supplied.
19	(2)	Law of diminishing returns is related to the short run when one factor is fixed in supply, the output of the good increases in the beginning and later decreases.
20	(3)	$ATC = \frac{TC}{Q}$ or $ATC = \frac{TFC + TVC}{Q}$
21	(2)	One firm in perfect competition is insignificant in the industry. Therefore, there is no gain from advertising.
22	(3)	Since the demand is perfectly elastic in perfect competition $AR = MR$
23	(5)	Value added by mango cultivators Rs. 5000 Value added by Jam factory Rs. 3000 Value added by Supermarket Rs. 2000 Total value added <u>Rs. 10,000</u>
24	(3)	When the actual growth is greater than trend growth it is boom and the output gap is positive.
25	(4)	$NNP_{FC} = GDP_{MP} - \text{Capital depreciation} + \text{net factor incomes from abroad} - \text{indirect taxes} + \text{Subsidies}$.
26	(5)	When there is autonomous consumption Apc decreases with the level of increase in income.
27	(4)	$K = \frac{1}{mps}$ $5 = \frac{1}{mps}$ $mps = 0.2$ $\therefore mps = 0.8$ $Ay = K \times AI$ $Ac = 1000 \times 0.8$ $= 5 \times 200$ <u>800</u> $= 1000$
28	(4)	Aggregate demand consists of private consumption, Government spending, Gross investment and net exports. $E = C + I + G + X - M$
29	(5)	The relationship between components of aggregate expenditure and income level of the country.
30	(3)	$S + T + M = I + G + X$ $S + 25 + 5 = 15 + 20 + 10$ $S + 30 = 45$ $S = 45 - 30$ $= \underline{15}$
31	(1)	$2000 \times \frac{15}{100} = 300$ $ER = TR - RR$ $= 500 - 300$ $= \underline{200}$

Question No.	Answer No.	Explanation of the reason
32	(1)	Time & Saving deposits of the people should be paid by the commercial bank when they are requested.
33	(2)	Reverse repo agreements are purchase of treasury bills by CBSL. When the CBSL purchases them interest rates in the inter bank call money market falls.
34	(4)	Disinflation is not non-existence of inflation. The rate of inflation is decreasing.
35	(3)	Market failure is a situation in which resource allocation is inefficient by the market forces.
36	(4)	Merit goods are goods that are under provided by the market mechanism.
37	(2)	Non-excludability and non-rivalry in consumption are essential characteristics of pure public goods.
38	(1)	Absolute advantage is producing a good at a lower cost compared to another country. Comparative advantage is producing the good at lower opportunity cost.
39	(1)	ADB
40	(2)	Terms of trade = $\frac{\text{Export price index}}{\text{Import price index}} \times 100\%$
41	(4)	Current A/C balance = BOT + Services (net) + income (net) + Net pvt current transfers. $= -40 + 20 - 10 + 8$ $= \underline{\underline{22}}$
42	(5)	The Sri Lankan rupee has appreciated. Then the imports are encouraged.
43	(1)	Globalization is the economic integration due to communication & transport.
44	(5)	Economic growth is the persistent increase in productive capacity.
45	(4)	Output per unit of labour increases when capital intensive methods are used.
46	(3)	When inequality increases Gini Coefficient increases and Lorenz curve moves away from the line of complete equity.
47	(5)	Unemployment rate = $\frac{\text{unemployed}}{\text{labour force}} \times 100\%$
48	(1)	MPI is measured from life expectancy, Literacy rate & per capita income.
49	(3)	33 - 35% of GDP is expected to achieve 8% economic growth.
50	(5)	The national official poverty line is poverty head count index.

Economics II - Model Answers

1.
 - (i)
 - What goods and services are to be produced in what quantities?
 - By what method is the nations output of goods and services to be produced?
 - For whom is output produced?
 - (ii)
 - The market economy solves the problem of "what to produce" by the price mechanism. The producers come to know about the goods that are most profitable to produce through price signals. Consumers come to know about the goods that give them the highest value for the money spent by them through price signals.
 - The central planning bureau makes decisions about what goods and services are to be produced in a command economy.
 - Both the price mechanism and the government commands and orders. Solve that to produce in a mixed economy.
 - In a traditional economy it is solved by traditions and customs. What was done in the past is followed by the present generation in these societies as well.
 - (iii)
 - Signalling function - The price provide relevant information necessary to make decisions for the economic agents (consumerd and producers) in a market economy.
 - Incentive function - providing incentives necessary to respond to the prices efficiently by suppliers & sellers.
 - Rationing function - allocating limited resources among alternative uses.
 - (iv)

The law of increasing opportunity cost is the increase in the quantity of a good sacrificed when the output of one good is raised by an equal amount.

(Alternative answer : When all available resources have been fully utilized, the increase in the production of one good results in an increase in its opportunity cost or the quantity of other good that has to be sacrificed.)

There are three reasons for increasing opportunity cost.

 - Resources (factors) are not homogeneous. (∴ one factor is not a perfect substitute to another.)
 - Difference in the production technologies used in the production of different goods and services.
 - A factor that is more suitable to produce a particular good is not suitable for the production of another good.
 - (v)

A bad - A good that gives a negative satisfaction or disability. People are willing to pay a price to get rid of them.

eg : garbage, environment pollution, air pollution.

(Alternative answer : A good that has a negative demand at zero price.)

 - A good is anything which gives positive satisfaction or utility to the consumer.
 - An economic good is a good which are scarce in supply.

(Alternative answer : The goods which have an opportunity cost.)

 - A free good is a good which is unlimited in supply at zero price.

(Alternative answer : The goods which have no opportunity cost. The goods which can be consumed unlimited quantities without any cost.)
2.
 - (i)
 - Price of the good concerned.
 - Prices of related goods (substitutes and complementary goods)
 - Income of consumers.
 - Consumers tastes.

- Future price expectations.
- Number of buyers.
- Other factors (social, political and environmental)

- (ii) Normal goods : Goods which display a positive relationship between consumer's income and quantity demanded.

(Alternative answers:)

The goods for which the quantity demanded increases when income increases and the quantity demanded falls when income decreases are called normal goods. A good which has a positive income elasticity of demand is a normal good.

Inferior goods : Goods which display an inverse relationship between consumer's income and quantity demanded are inferior goods.

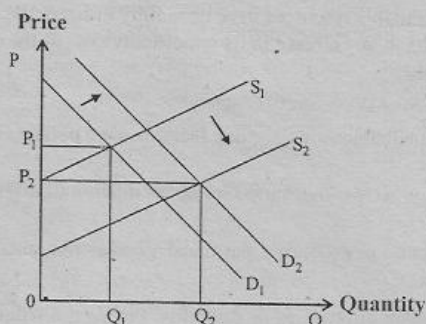
(Alternative answers:)

The goods for which the quantity demanded decreases when income increases and the quantity demanded falls when income decreases are called inferior goods.

Giffen goods : goods for which demand increases when price rises and demand falls when price falls.

(Alternative answers:) A good which displays a positive relationship between price of the good and the quantity demanded. A good which has a positive price elasticity of demand. Giffen good phenomenon occurs when the negative income effect associated with change in price overweighs the substitution effect.

- (iii) Since the supply of computers increases faster than the increase in demand for computers; price of computers fall continuously.



The supply curve shifts to the right faster than the shift of the demand curve to the right.

- | | | |
|----------|--|---------|
| (iv) (a) | Consumer surplus before tax | d e f g |
| | Producer surplus before tax | a, b, c |
| (b) | Consumer surplus after tax | g |
| | Producer surplus after tax | a |
| (c) | Deadweight loss (loss of social welfare) | c, d |
| (f) | Government tax revenue | b, e, f |

3. (i) • A time frame in which the quantities of some resources (at least one) are fixed.
(Alternative answer : A short run is the time framework in which a firm is engaged in production using both fixed and variable inputs.)
- The adequate time frame for the firm to change all its fixed inputs into variable inputs.
(Alternative answer : a time frame in which all inputs in the production process become variable inputs.)

- (ii) The law of Diminishing Returns states that as a firm increases output in the short run by adding more of a variable inputs to its fixed factors, eventually the marginal and average product of the variable input will begin to fall.

- (iii) • Direct costs of resources that the firm uses that are supplied from outside the firm are explicit costs.

(Alternative answer : Direct costs are the opportunity costs for the resources received from outside.)

Ex : wages paid for the labour purchased from outside raw materials purchased from outside, payments for electricity water & fuel.

- Implicit costs.

implicit costs are the values of the best opportunity foregone (opportunity cost) by the firm when it uses resources supplied by the firm's owners.

Example: A business firm owner may invest his own funds in his production process without receiving formal interest income, but the value of the alternative interest income forgone represents an implicit opportunity cost to the owner of the business.

- (iv) When the long run average total cost falls (assuming fixed factor prices) as the rate of output increases firm experiences economies of scale.

There are number of sources for economies of scale.

- Technical economies of scale due to increase in capacity.
- Managerial economies of scale.
- Marketing economies of scale.
- Financial economies of scale.
- Risk - bearing economies of scale.

[Alternative answer:] There are two kinds of economies of scale internal economies of scale & external economies of scale.

Internal economies arise when long run average cost declines as scale of operation increases external economies arise when the entire industry expands individual firms in the industry benefit due to decrease in cost of some inputs.

- (v) **Market structures**

perfect competition
monopoly
monopolistic competition
oligopoly

Perfect competition

homogeneous products.
large number of buyers and sellers.
no restrictions on the entry into the industry
perfect information to both buyers and sellers.
free mobility of factors.
sellers are price takers (no power over market price in the long run equilibrium, all firms in the industry earn only normal profits.)

Monopoly

Product is unique (no close substitutes)
Single seller.
Barriers to entry.
Imperfect information.
Facing a downward sloping demand curve.

Monopolistic competition

- large number of producers and buyers.
- product differentiation.
- easy entry.
- facing downward sloping demand curve.

Oligopoly

- few large firms dominate the industry.
- barriers to entry.
- mutual inter dependence.
- homogeneous or differentiated products.

4. (i) Compensation of employees (wages and salaries)
rent
net interest
corporate profits.
income of incorporated businesses (income) of self - employed and professionals.)
- (ii) The error that would arise in estimating the nation's output by adding all sales of all firms is known as double counting error. There are two alternative methods to correct this error.
1. Final good method: The sale of final goods is included and the sale of intermediate goods is excluded from GDP.
 2. Value added method. The sum of all values added in an economy is a measure of the economy's total output.
- Examples : rice production

Stage of production	Sales value	Value added	
		Sales value	intermediate inputs
Firm A: Paddy farmer	10,000	10,000 - 0	= 10,000
Firm B: Rice miller	18,000	18,000 - 10,000	= 8000
Firm C: Wholesaler	22,000	22,000 - 18,000	= 4000
Firm D: Retailer	25,000	25,000 - 22,000	= 3000
Total sales value	75,000		
Total value added			<u>25,000</u>

- (iii) (a) $NDP = GDP - \text{depreciation}$
 $6000 - 600^{\circ} = 5400$
- (b) $\text{Net exports} = Y - M$
- Gross Domestic product = private consumption + Gross investment + Government purchases + net exports.

$$GDP = C + I + G + Y - M$$

$$X - M = GDP - (C + I + G)$$

$$X - M = 6000 - (4000 + 800 + 1100)$$

$$X - M = 6000 - 5900$$

$$X - M = \underline{\text{Rs. } 100^m}$$

(c) Net taxes = Taxes - Transfers

$$Nt = T - Tr$$

Budget surplus = Net taxes - Government purchases

$$30 = \text{Net taxes} - 1100$$

$$\text{Net taxes} = 30 + 1100$$

$$= \underline{\text{Rs. 1130 m}}$$

(d) Disposable personal income = Net domestic product - private tax

$$= 5400 - 1130$$

$$= \underline{\text{Rs. 4270 m}}$$

(e) Personal savings = Disposable personal income - private consumption

$$= 4270 - 4000$$

$$= \underline{\text{Rs. 270 million}}$$

- (iv)
- To evaluate economic performance.
 - To measure economic growth.
 - To identify economic structure and structural changes.
 - To compare the per capita income levels internationally.
 - To identify functional income distribution.
 - To identify the functional relationship between main macro economic variables.
 - To identify the quantity of resource and utilization of resources of the economy.
 - To formulate socio - economic policies.

5. (i) Consumption expenditure (C)

Investment expenditure (I)

Government purchases (G)

Net exports (Nx)

- Consumption expenditure
Household consumption expenditure on goods and services.
- Investments
Spending by firms on new capital goods such as buildings factories equipment. houses and increase in inventories.
- Government purchases
Spending by government on goods and services.
- Net exports
The difference between exports and imports of goods and services.

- (ii)
- Both consumption and savings are positively related to disposable income. Any increase in disposable income will be used partly to spend on additional consumption of goods and services and the other part will be saved.
 - This implies that Mpc and Mps must add up to one. Therefore the slope of the consumption function will be equal to one minus the slope of the savings function.

$$Y_d = C + S$$

$$C = a + bY_d$$

$$S = Y_d - C$$

$$S = Y_d (a - bY_d)$$

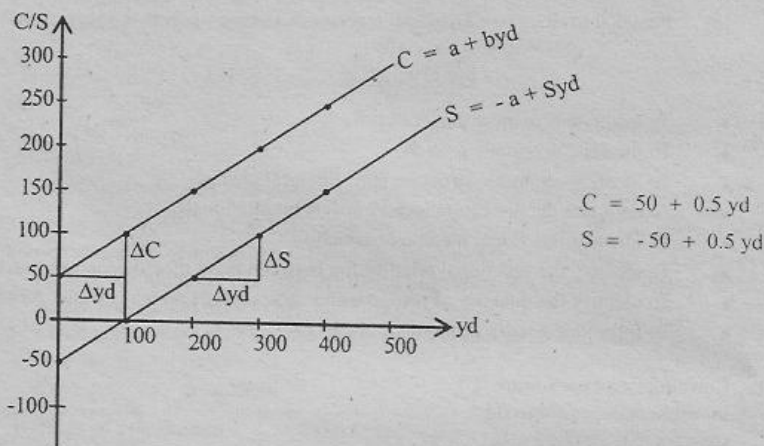
$$= -a + (1 - b) Y_d$$

$$= -a + S_yd$$

- The relationship between consumption and savings functions can be explained from a graph.

Example

Disposable income yd	Consumption expenditure C	Savings S
0	50	-50
100	100	0
200	150	50
300	200	100
400	250	150



(iii) (a) equilibrium income

$$y = C + I$$

$$y = 100 + 0.8y + 50$$

$$y - 0.8y = 150$$

$$0.2y = 150$$

$$y = \frac{150}{0.2} = \underline{750}$$

(b) Savings at the equilibrium

$$S = y - c$$

$$S = -100 + 0.2y$$

$$S = y - c$$

$$= 750 - [(100 + 0.8(750))]$$

$$= 750 - (100 + 600)$$

$$S = 50$$

An alternative answer

$$S = 100 + 0.2y$$

$$S = -100 + 0.2y (750)$$

$$S = -100 - 150$$

$$= \underline{50}$$

- (c) Involuntary inventory accumulation

Actual income level - equilibrium income level
800 - 750

- (d) Equilibrium national income when investment (I) = 100

$$y = C + I$$

$$y = 100 + 0.8y + 100$$

$$y - 0.8y = 200$$

$$0.2y = 200$$

$$y = \frac{200}{0.2} = \underline{1000}$$

Equilibrium national income will increase by 250

Equilibrium income increases upto 1000

Alternative answer : Change in equilibrium can be calculated from the multiplier.

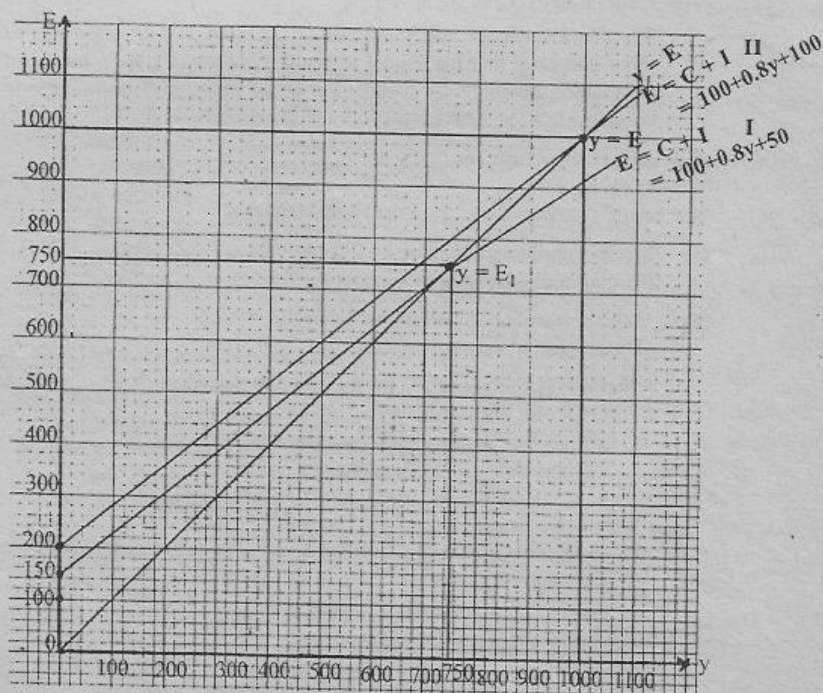
$$k = \frac{1}{1 - mpc} = \frac{1}{1 - 0.8} = \frac{1}{0.2} = \underline{5}$$

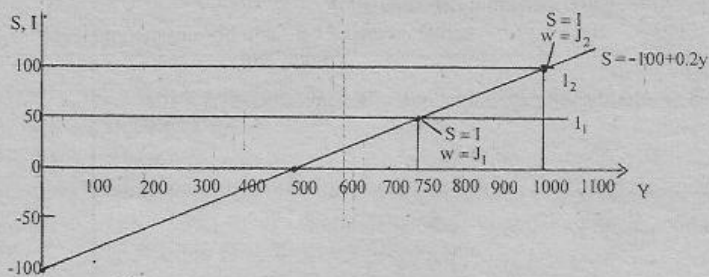
$$\Delta I = 50 (100 - 50)$$

$$\Delta y = k \times \Delta I$$

$$5 \times 50 = \underline{250}$$

(e)





initial equilibrium	$y = E$	I
	$W = J$	I
new equilibrium	$y = E$	II
	$W = J$	II

6. (i) • In an economy that relies on barter, trade is said to require coincidence of wants between the two transactors - that the two people each have a good or service that the other wants.
- An alternative answer from an example - If a paddy farmer has paddy but wishes to acquire cloth he should find a cloth maker who has cloth that he wishes to exchange for paddy.
- (ii) • A credit card is not money because it does not possess all the essential properties that money should have. It does not perform the store of value function. It acts as a medium of exchange temporarily.
- The credit cards are rather a means of obtaining a short term loan from a bank or other company that has issued the card. Credit cards are a means of deferring or postponing payment for a short period of time, your transaction is not actually complete until you have paid your credit card bill.
- (iii) existence of excess reserves.
Demand for bank loans
Absence of currency drains from the banking system
- (iv) (a) Money supply will increase by Rs. 100000
(01 mark only for answers without the figure)
- (b) Maximum amount of additional Loans Rs. 80000
(The amount of excess reserves)
Statutory reserve necessary for Rs. 100,000 deposits

$$\frac{20}{100} \times 100,000 = 20,000$$

$$100,000 - 20,000 = \underline{80,000}$$

- (c) The maximum amount of additional deposits by the banking system 500,000
 r = statutory reserves

$$10000 \times \frac{1}{r} = 100,000 \times \frac{1}{20\%}$$

$$= \underline{500000}$$

- (d) A deposit expansion of such a scale may not necessarily take place.
Due to the following reasons, deposit expansion may not take place at its maximum.
- excess reserves
 - cash drains
 - Lack of borrowers
- (v) New comprehensive rural credit scheme (NCRCS).
Krushi navodaya scheme
Saubagya loan scheme
Agro-livestock development project.
Micro finance
Small farmers and landless credit project.
Susahana loan scheme
Programme to assist and participate in dry zone means of living.
Awakening North Special Refinance loan scheme.
Rising East revolving fund for development of eastern province tea development project.
Sabaragamuwa province integrated rural development project.
Matale regional economic advancement project.
7. (i) The major economic functions of government.
- Improving efficiency in resource allocation.
 - externalities
 - public goods
 - Merit goods and demerit goods
 - Ensure fair distribution of income.
 - Macro economic stability
 - Raising economic growth and development
 - Establishment of legal framework required for the efficiently functioning market economy.
 - promoting infrastructure facilities.
 - Regulations to ensure competition.
- (ii) A good with the following two characteristics is a pure public good.
One person's consumption does not affect the amount available for others marginal cost to supply it to additional person is zero.
Exclusion is not possible.
- (iii) (a) **Negative externality in production.**
- Emission of waste to the atmosphere by a manufacturing firm.
 - Releasing the waste of a factory to rivers & reservoirs.
 - Destruction of natural forest for wood industry.
- (b) **Positive externalities in production**
- Generation of employment opportunities due to development of an industrial estate
 - Development of infrastructure facilities due to establishment of factories.
 - Creation of trained labour force due to industrial development.
- (c) **Negative externality in Consumption.**
- environment pollution due to motor cars.
 - heaping of garbage by either side of roads.
 - unfavourable effect on others due to smoking.
 - anti-social activities due to alcohol drinking.
- (d) **Positive externality in consumption.**
- Benefit to society due to education.
 - favourable effect to others due to good health habits immunization against contagious diseases.

- | | | |
|------|---|--|
| (iv) | Income tax
Excise taxes
Nation Building Tax (NBT)
Cess | Value Added Tax (VAT)
Import duties
Ports and Airport Development Levy (PAL)
Licence fees |
|------|---|--|

(v) **Transfers to households**

- Pensions
- Fertilizer Subsidy
- Samurdhi relief
- Distribution of school uniforms
- Providing a nutritious breakfast to students of underprivileged schools.
- Free textbooks programme.
- Poshana Malla & Triposha programme.
- Assistance to disabled former soldiers.
- Assistance to displaced persons.

8. (i) **Main export items**

- Tea
- Rubber
- Coconut
- Textile and garments
- Petroleum products
- Gems
- Diamonds
- Ceramic products

Main import items

- petroleum
- Sugar
- Wheat
- Textile
- Fertilizer
- Machinery and equipment
- Drugs

(ii) **Arguments for protection**

- Protection of infant industries
- Protection of strategic industries
- Protection of employment.
- Diversification of domestic economy
- Developing a self-sufficient national economy.
- Source of government revenue. ~~de-merit~~
- Discouraging the consumption of ~~de-merit~~ goods. (alcohol, cigarettes, narcotic drugs)

(iii) **Nominal rate of protection.**

As a result of the increase in tariff, the protection given to a domestically produced good compared to an imported good is Nominal rate of protection.

[Alternative answer : The market price of an imported good in the domestic market relative to the price of a domestically competitive good due to a tariff is nominal rate of protection. Nominal rate of tariff shows as a percentage of price of imported good in the domestic market relative to the price of domestically produced good]

Effective rate of protection

The effective rate of protection measures, the percentage effect of the entire tariff structure on the value added per unit of output in each industry.

The difference between the value added of the imported good under tariff and value added under free trade is expressed as a percentage of value added under free trade is effective rate of protection.

Alternative answer

$$\frac{\text{Value added per unit after tariff} - \text{Value added per unit under free trade}}{\text{Value added per unit under free trade}} \times 100$$

or ERP = Effective rate of protection

V_1 = Value added per unit under tariff

V_0 = Value added per unit under free trade

$$\text{ERP} = \frac{V_1 - V_0}{V_0}$$

- (iv) Flexible or (Floating) exchange rates are exchange rates that are determined by demand and supply in foreign exchange market.

Fixed exchange rate is the exchange rate that is maintained by the monetary authority by buying and selling currency to prevent market forces, taking the exchange rate away from an officially declared 'par value' or parity.

Managed exchange rates is the mixture of free floating and fixed exchange rate. The exchange rate for a unit of domestic currency is determined and is allowed to float between the range. The monetary authority intervenes into the market to maintain the range.

9. (i) **Inclusive economic growth.**

Inclusive growth encompasses both the pace and pattern of growth which are critical in providing opportunities for many who are excluded from the growth process so that all members of society could contribute to and benefit from growth.

Inclusive growth refers to a rapid pace of sustainable growth which is broad based across sectors.

Inclusive growth is not simply income distribution.

The emphasis of inclusive growth is improving the production capacity of individuals and creating a conducive business environment for employment rather than income redistribution.

- (ii)
- Economic growth is generally regarded as an essential requirement for sustainable development since growth generates increased income and increased income is required for increased material well-being.
 - However growth involves increased user of resources environmental impact and social changes. Increase income now may reduce the potential for income in future.
 - Sound political, legal and bureaucratic institutions can foster the trust and confidence needed to support investment for growth. Regulation provides a way to consider economic, environment and social outcomes in decision-making and therefore help promote sustainable development.
 - Increasing well-being brought about by economic growth may in turn alter patterns of economic behaviour as value change. As basic needs of life are met, individual and community values shift towards making trade-offers in a way that may mitigate negative social and environmental impacts. For example : Wealthier consumers may be more willing to pay a premium for environment friendly goods, greater financial and technology may enable more efficient production methods.

- (iii) Both demand side policies and Supply side policies can be used.
- increase in public investment in infrastructure development.
 - increase in investment in research & development.
 - maintenance of low interest rates.
 - Tax cuts.
 - maintenance of stable macro economic environment.
 - protection of property rights.
 - increase in investment in human capital.
 - obtaining maximum benefits from the opportunities available in the global economy.
 - maintenance of political stability.
 - good governance.
- (iv) Human development index is more suitable than per capita income in measuring economic development.
- Per capita income level shows a very narrow aspect of the process of development. But Human development index is a composite index combining three dimensions of human development namely :- wealth, education, longevity, literacy and living standard.
 - GDP data is a misleading indicator of true living standards between countries. The living standard of high per capita income countries is not necessarily expected to be higher than that of low per capita income countries. The main variables that indicate the living standard are not included in per capita income.
 - The essential characteristic of human development is widening freedom of choice for man, per capita income does not indicate this aspect.
- (v) Human development index in Sri Lanka has shown an increasing trend in recent years.

Year	HDI	Year	HDI
2005	0.635	2008	0.650
2006	0.640	2009	0.657
2007	0.646	2010	0.658

Sri Lanka's ranking in HDI

2009 → 102nd
 2010 → 91st

10. (i) • Sustaining high growth rate of about 8% up to 2016 requires higher level of investment. Then 8% growth rate would require a level of investment between 32-35% of GDP. The current level of investment is 27.8% of GDP. Additional increase in investment by 5% is a challenge.
- Increase in public investment is not so easy. current public investment is about 6.2% of GDP. Government revenue is not sufficient to finance the current expenditure. (Government revenue is about 15% and its current expenditure is about 17%).
 - Most government enterprises have failed to earn a profit and they expect government transfers due to loss.
 - Foreign direct investment is an important source to finance the investment gap. But there are limitations in FDI. Sri Lanka does not rank highly in Doing Business index report produced by the World Bank. Neither Sri Lanka rank favourably in the global competitiveness index produced by the world economic forum.
 - Traditional determinants of investments such as good labour laws to investments, minimum rules and regulations, less bureaucracy, good governance are also not favourable in Sri Lanka.

- (ii) • FDI flows to Sri Lanka are very unstable at present. The slow and inadequate foreign investment inflow into the country is a disappointment. Much was expected by way of foreign investment after the end of the war and terrorism in May 2009.
- Net foreign direct investment.

2008	USD 691 million
2009	USD 384 million
2010	USD 435 million
 - The inflow of foreign investment to Sri Lanka is particularly low when compared to what other countries like India, Vietnam, China etc, have able to attract.
 - Board of investment expects to raise FDI to USD 1 billion in 2011: 1.5 billion in 2012 and 2 billion in 2013.
- (iii) • Rigidities in the labour market.
- Issues of good governance.
 - Unstable macro economic conditions. (high budget deficit public debt of about 17 billion 20% of export earnings are used to serve foreign debt.
 - Limited domestic market.
 - There is still a degree of uncertainty regarding government policies on foreign private investments. The experiences with respect to Apollo Hospital, Shell, Sri Lanka Airlines, IOC are not conducive to developing confidence among foreign investors.
 - Increase in the production cost. (When compared with other countries like Vietnam and Bangladesh. Labour cost in Sri Lanka is low. (And also cost of energy is high.)
- (iv) **Gama Neguma**
- The objective of the Gama Neguma is to convert villages and towns into small centres of growth by promoting a holistic approach to infrastructure planning.
 - Major programmes under Gama Neguma include improving rural access to roads, rural electrification, drinking water and sanitation facilities rural housing and the livelihood of rural people.
 - In 2010 Gama Neguma programme has been expanded to 14000 Grama Niladari Divisions.
 - The selected Grama Niladari Divisions received Rs. 2 million annually under this programme to undertake development activities.
 - When villages get selected through a self selection process on poverty and express willingness of the people to follow Gama Neguma principles the project assists the community to establish community organization in the village with the acceptance and participation of more than 80% of the families in the village.

(v) **Trends in national poverty level.**

Year	Poverty level
2002	22.7%
2006 / 2007	15.2%
2009 / 10	8.9 / 7.4%

Sectoral poverty trends.

Year	Urban	Rural	Estate
2002	7.9	24.7	30.0
2006 / 7	6.7	15.7	32.0
2009 / 10	5.3	9.4	11.4
	(6.5)	(7.7)	(9.2)



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